

QUESTION BANK

Fundamentals of Marketing Management

T.Y.B.A.F. — Mumbai University

Exam Pattern: 60 Marks External | Duration: 2 Hours | Answer any 4 out of 6
(15 marks each)

How to Use This Question Bank

- Each module contains the most exam-relevant questions — built topic-wise, not as repetitive variations, so you learn how questions are actually framed.
- Every question is split into a) and b) parts, matching the real paper pattern (15 marks per question).
- Answers are in ready-to-write point format — learn the headings first, then the bullet points under them.
- Star ratings tell you where to invest your time when short on days before the exam.

Star Rating Legend

Rating	Meaning	What it means for you
★ ★ ★	Very Important	High chance of appearing — master these first
★ ★	Important	Frequently asked — cover after 3-star topics
★	Normal Study	Not Given here as I don't want to waste my and yours time

Module 1 : Introduction to Marketing

Quick Reference

Q.No	Topic	Rating
Q.1	Marketing Concept, Features, Importance	★★★
Q.2	Explain the concept of Marketing Research and its process	★★☆
Q.3	Explain Marketing Information System (MIS) and its features and components	★★★
Q.4	Explain the concept of Consumer Behaviour and the factors influencing it.	★★☆
Q.5	Explain the concept, benefits and bases of Market Segmentation.	★★★
Q.6	Explain the concept and techniques of Customer Relationship Management (CRM).	★★☆
Q.7	Explain the concept of Market Targeting and the five patterns of target market selection.	★★☆

Q.1 Marketing Concept, Features, Importance ★★★ (Very Important)

a) Define marketing. Explain its features and importance.

Definition

Marketing is the process of identifying customer needs, developing suitable products or services, promoting them, and making them available to customers in order to satisfy their needs and achieve business objectives.

In simple words, marketing means understanding what customers want, providing it to them, and satisfying their needs profitably.

Features

1. Customer-oriented

Marketing mainly focuses on customers and their needs. Businesses study what customers want and provide products or services accordingly.

2. Continuous process

Marketing is not a one-time activity. It starts before the product is made and continues even after the product is sold through customer service and feedback.

3. Satisfies customer needs

The main purpose of marketing is to satisfy the needs and wants of customers by providing useful products and services.

4. Exchange process

Marketing involves an exchange between buyers and sellers. Customers give money or value in return for products or services.

5. Creates value

Marketing creates value by providing the right product, at the right price, at the right place, and at the right time.

6. Promotion

Marketing includes activities such as advertising, sales promotion, personal selling, and publicity to inform and attract customers.

7. Dynamic in nature

Marketing keeps changing according to customer preferences, technology, competition, and market conditions. Therefore, businesses must adapt to changes.

8. Involves many activities

Marketing includes several activities such as market research, product planning, pricing, promotion, distribution, selling, and after-sales service.

9. Profit-oriented

Marketing helps businesses increase sales and earn profits by satisfying customers and building long-term relationships with them.

10. Builds customer relationships

Modern marketing focuses not only on selling products but also on building long-term relationships and customer loyalty.

Conclusion

Thus, marketing is an important business activity that connects the business with its customers. It helps businesses understand customer needs, satisfy them, increase sales, and achieve their objectives.

Importance

1. Identifies customer needs

Marketing helps businesses understand the needs, wants, and preferences of customers through market research.

2. Increases sales

Marketing creates awareness about products and services through advertising, promotion, and personal selling, which helps increase sales.

3. Creates customer satisfaction

Marketing helps provide the right product at the right price, place, and time, leading to customer satisfaction.

4. Creates demand

Effective marketing activities such as advertising and sales promotion create awareness and increase demand for products.

5. Helps in product development

Marketing provides information about customer needs and market trends. This helps businesses develop new products and improve existing products.

6. Helps face competition

Marketing helps a business understand its competitors and develop better products, prices, and promotional strategies to compete in the market.

7. Increases profits

By increasing sales and satisfying customers, marketing helps businesses increase revenue and earn higher profits.

8. Creates employment

Marketing activities such as selling, advertising, transportation, distribution, market research, and customer service create employment opportunities.

9. Builds customer relationships

Marketing helps businesses maintain long-term relationships with customers through good service, communication, and after-sales support.

10. Helps business growth

Effective marketing helps a business reach new customers, enter new markets, increase sales, and expand its business.

Conclusion

Thus, marketing is essential for the success and growth of a business. It connects the business with customers, creates demand, increases sales, satisfies customers, and helps the business earn profits.

Strategic vs Traditional Marketing

Basis	Strategic Marketing	Traditional Marketing
1. Focus	Focuses on customers, market, and long-term growth.	Focuses mainly on products and sales.

Strategic vs Traditional Marketing (continued)

Basis	Strategic Marketing	Traditional Marketing
2. Time period	Mainly long-term.	Mainly short-term.
3. Approach	Proactive - tries to identify future opportunities and challenges.	Reactive - responds to existing market situations.
4. Customer role	Customers are at the centre of marketing decisions.	Customers are mainly seen as buyers of products.
5. Competition	Gives importance to competitor analysis and competitive advantage.	Gives less importance to detailed competitor analysis.
6. Research	Uses regular market research and data analysis.	Uses comparatively less research and relies more on traditional methods.
7. Communication	Uses digital, social media, personalised, and interactive communication along with other methods.	Mainly uses TV, radio, newspapers, magazines, posters, and direct selling.
8. Relationship	Focuses on long-term customer relationships and loyalty.	Focuses mainly on making sales.
9. Decision-making	Decisions are based on market information, customer data, and future trends.	Decisions are often based on experience and current market conditions.
10. Main objective	To achieve long-term growth, customer value, and competitive advantage.	Mainly to increase sales and promote products.

Conclusion

Thus, traditional marketing mainly focuses on selling and promotion, while strategic marketing focuses on long-term growth, customer needs, competition, and building a strong position in the market.

👉 Main difference:

Strategic = Long-term + Customer-focused + Future-oriented

Traditional = Short-term + Product-focused + Sales-oriented

Q.2 Explain the concept of Marketing Research and its process ★★★★★ (Important)

Concept

Marketing Research is the systematic process of collecting, analysing, and interpreting information about customers, competitors, and the market to help a business make better marketing decisions.

In simple words, marketing research means finding out what customers want, what is happening in the market, and using that information to make the right business decisions.

Example:

Before launching a new soft drink, a company may conduct a survey to find out which flavour customers prefer, what price they are willing to pay, and which brand they currently buy. This is called marketing research.

Features

1. Systematic process

Marketing research is carried out in a planned and organised manner. Information is collected and analysed step by step.

2. Customer-oriented

It focuses on understanding customer needs, wants, preferences, and buying behaviour.

3. Collection of information

It involves collecting relevant and useful information from customers, markets, competitors, and other sources.

4. Objective in nature

Marketing research aims to provide accurate and unbiased information for decision-making.

5. Helps in decision-making

Research provides information that helps managers make better decisions about products, prices, promotion, and distribution.

6. Continuous process

Market conditions and customer preferences keep changing. Therefore, marketing research needs to be conducted regularly.

7. Scientific approach

It uses methods such as surveys, interviews, observation, sampling, and data analysis to obtain reliable information.

8. Studies the market

Marketing research helps a business understand market trends, competitors, demand, and opportunities.

9. Reduces risk

Proper research helps businesses make informed decisions and therefore reduces the chances of failure and loss.

10. Future-oriented

Marketing research helps businesses predict future customer needs and market trends, which helps in future planning.

Conclusion

Thus, marketing research is an important tool for understanding the market and customers. It provides useful information, reduces business risk, and helps management make better marketing decisions.

Q.3 Explain Marketing Information System (MIS) and its features and components

★★★ (Very Important)

Concept

Marketing Information System (MIS) is a system that collects, processes, analyses, stores, and provides relevant marketing information to managers for making effective marketing decisions.

In simple words, MIS provides the right marketing information to the right person at the right time to make better decisions.

Example:

A company collects information about customer preferences, sales, competitors, prices, and market trends. This information is analysed and given to managers to help them make marketing decisions. This is called a Marketing Information System.

Features

1. Systematic process

MIS is a planned and organised system for collecting, processing, and providing marketing information.

2. Continuous process

MIS provides information regularly and continuously, not only when a problem occurs.

3. Provides relevant information

It provides useful and relevant information needed by marketing managers for decision-making.

4. Helps in decision-making

MIS helps managers make better decisions regarding products, pricing, promotion, distribution, and sales.

5. Uses internal and external information

MIS collects information from inside the organisation as well as from outside sources, such as customers, competitors, and the market.

6. Uses technology

MIS makes use of computers, databases, software, and other technologies to collect, store, process, and analyse information.

7. Accurate and timely

MIS aims to provide accurate information at the right time, so managers can take quick and appropriate decisions.

8. Future-oriented

MIS helps businesses understand market trends and future opportunities, which supports planning and forecasting.

9. Reduces risk

By providing proper information, MIS helps managers reduce uncertainty and business risks.

10. Supports marketing activities

MIS supports various marketing activities such as market research, sales forecasting, product planning, pricing, promotion, and distribution.

Components

MIS mainly consists of four important components:

1. Internal Records System

This component collects information from within the organisation.

It includes:

- Sales records
- Orders
- Invoices
- Stock or inventory records
- Customer records
- Accounts and financial reports

Purpose: It helps managers understand the company's current sales and performance.

2. Marketing Intelligence System

It collects regular information about the external marketing environment.

It provides information about:

- Competitors
- Customers
- Market trends
- Government policies
- Changes in technology
- Economic conditions

Purpose: It helps the business understand what is happening in the market and identify opportunities and threats.

3. Marketing Research System

This component involves collecting and analysing information for a specific marketing problem or situation.

It may use:

- Surveys
- Interviews
- Questionnaires
- Observation
- Customer feedback

Purpose: It helps solve specific problems, such as finding customer preferences or testing a new product.

4. Marketing Decision Support System (MDSS)

This component uses data, computers, software, and analytical tools to help managers make marketing decisions.

It helps in:

- Sales forecasting
- Pricing decisions
- Demand analysis
- Market analysis
- Comparing different marketing strategies

Purpose: It helps managers make better and faster decisions using available information.

Conclusion

Thus, Marketing Information System provides useful information for effective marketing decisions. Its four main components are:

Internal Records → Marketing Intelligence → Marketing Research → Decision Support System

Q.4 Explain the concept of Consumer Behaviour and the factors influencing it. ★★★ (Important)

Concept

Consumer Behaviour refers to the study of how individuals or groups select, buy, use, and dispose of products and services to satisfy their needs and wants.

In simple words, consumer behaviour means understanding why, how, when, and where customers buy and use products or services.

Factors Influencing Consumer Behaviour

1. Cultural Factors

Culture, values, traditions, customs, and beliefs influence what people buy and consume.

Example: Food preferences may differ from one culture to another.

2. Social Factors

Family, friends, social groups, and social status influence buying decisions.

Example: A person may buy a particular brand because it is popular among their friends.

3. Personal Factors

Personal characteristics such as age, occupation, income, lifestyle, and personality affect consumer choices.

Example: A student and a working professional may have different preferences for clothing and mobile phones.

4. Psychological Factors

A person's motivation, perception, learning, beliefs, and attitudes influence buying behaviour.

Example: A customer may prefer a brand because they have a positive opinion about it.

5. Economic Factors

Income, savings, purchasing power, price of products, and economic conditions affect buying decisions.

Example: A person with a limited income may prefer an affordable product.

6. Marketing Factors

The company's product, price, promotion, packaging, advertising, and distribution can influence consumers.

Example: An attractive advertisement or discount may encourage a customer to buy a product.

7. Situational Factors

The situation or circumstances at the time of purchase can also affect consumer behaviour.

Example: A person may buy an umbrella when it suddenly starts raining.

Conclusion

Thus, consumer behaviour helps businesses understand why customers buy, what they buy, and how they make purchasing decisions. Understanding these factors helps businesses develop better products and marketing strategies.

Q.5 Explain the concept and bases of Market Segmentation ★★★ (Very Important)

Concept

Market Segmentation is the process of dividing a large market into smaller groups of customers who have similar needs, characteristics, or buying behaviour.

In simple words, market segmentation means dividing customers into different groups so that a business can serve each group more effectively.

Example:

A clothing company may divide its market into children, teenagers, adults, and senior citizens and offer different products to each group.

Bases of Segmentation

1. Geographic Segmentation

The market is divided according to the location or geographical area of customers.

It includes:

- Country
- State
- City
- Region
- Climate
- Urban and rural areas

Example: A company may sell woollen clothes more in cold regions and cotton clothes in hot regions.

2. Demographic Segmentation

The market is divided according to personal and population characteristics.

It includes:

- Age
- Gender
- Income
- Occupation
- Education
- Family size
- Religion
- Marital status

Example: A company may offer different products for children, teenagers, and adults.

3. Psychographic Segmentation

The market is divided according to customers' lifestyle, personality, values, interests, and social class.

Example: A fitness company may target customers who have a healthy and active lifestyle.

4. Behavioural Segmentation

The market is divided according to customer behaviour towards a product or brand. It includes:

- Buying habits
- Usage rate
- Brand loyalty
- Benefits expected
- Occasion of purchase
- Customer's readiness to buy

Example: A company may offer special rewards to customers who regularly purchase its products.

Q.6 Explain the concept and techniques of Customer Relationship Management (CRM).

★★★ (Important)

Concept

Customer Relationship Management (CRM) is a business strategy used to build, maintain, and improve long-term relationships with customers by understanding their needs and providing better products and services.

In simple words, CRM means understanding customers, satisfying them, and maintaining a good relationship with them for a long time.

Example: A company keeps records of customers' purchases and preferences and sends them personalised offers, updates, and after-sales support. This is an example of CRM.

Techniques

1. Customer Database

Businesses maintain customer information such as name, contact details, purchase history, preferences, and feedback.

Purpose: Helps the business understand customers and serve them better.

2. Personalised Communication

2. Personalised Communication

Businesses communicate with customers according to their individual needs and preferences through emails, messages, calls, or offers.

Example: Sending a special offer based on a customer's previous purchases.

3. Customer Service

Providing quick, helpful, and polite service before and after the sale helps build customer trust and satisfaction.

4. Customer Feedback

Businesses collect feedback through surveys, reviews, complaints, and suggestions.

Purpose: Helps identify problems and improve products and services.

5. Loyalty Programmes

Businesses offer points, discounts, rewards, or special benefits to regular customers.

Purpose: Encourages customers to continue buying from the business.

6. Complaint Handling

Customer complaints are handled quickly and effectively to solve problems and maintain customer trust.

7. After-Sales Service

Businesses provide support after the purchase through installation, maintenance, warranty, repairs, and assistance.

Purpose: Increases customer satisfaction and loyalty.

8. Use of Technology

CRM software and digital tools are used to store customer data, track interactions, analyse customer behaviour, and manage communication.

9. Customer Retention

Businesses take steps to keep existing customers by providing good quality, better service, special offers, and regular communication.

10. Building Long-term Relationships

CRM focuses on developing long-term relationships rather than only making one-time sales.

Conclusion

Thus, CRM is an important approach for understanding and satisfying customers. It helps businesses improve customer satisfaction, build loyalty, retain customers, and achieve long-term success.

Q.7 Explain the concept of Market Targeting and the five patterns of target market selection. ★★★ (Important)

Concept

Market targeting is the process of evaluating different market segments and selecting one or more segments to serve with a suitable marketing strategy.

In simple words, market targeting means choosing the group of customers that a business wants to serve.

Five Patterns of Target Market Selection

1. Single-Segment Concentration

The company focuses on one particular market segment and develops its marketing strategy mainly for that segment.

Example: A company sells premium sports shoes only for professional athletes.

Easy meaning: One product → One segment

2. Selective Specialisation

The company selects two or more different market segments and offers suitable products to each segment.

The segments may be unrelated to each other.

Example: A company sells baby products, sports products, and beauty products to different customer groups.

Easy meaning: Different products → Different segments

3. Product Specialisation

The company focuses on one particular product but sells it to different market segments.

Example: A company manufactures laptops and sells different versions to students, professionals, and businesses.

Easy meaning: One product → Many segments

4. Market Specialisation

The company focuses on one particular customer group and provides different products to satisfy its various needs.

Example: A company targets hotels and provides them with furniture, kitchen equipment, beds, and other supplies.

Easy meaning: One segment → Many products

5. Full Market Coverage

The company tries to serve all major market segments by offering products suitable for different customer groups.

Example: A large company offers products for children, teenagers, adults, and senior citizens.

Easy meaning: Many products → Many segments

Conclusion

Market targeting helps a business select the most suitable customers and develop appropriate marketing strategies for them. The five patterns help businesses decide how many segments to target and how many products to offer.